



CARIBBEAN EXAMINATIONS COUNCIL

CARIBBEAN ADVANCED PROFICIENCY EXAMINATION®

MANAGEMENT OF BUSINESS

UNIT 2 – Paper 02

2 hours 30 minutes

READ THE FOLLOWING INSTRUCTIONS CAREFULLY.

1. This paper consists of THREE questions. Answer ALL questions.
2. Write your answers in the spaces provided in this booklet.
3. Do NOT write in the margins.
4. If you need to rewrite any answer and there is not enough space to do so on the original page, you must use the extra lined page(s) provided at the back of this booklet. **Remember to draw a line through your original answer.**
5. **If you use the extra page(s) you MUST write the question number clearly in the box provided at the top of the extra page(s) and, where relevant, include the question part beside the answer.**

DO NOT TURN THIS PAGE UNTIL YOU ARE TOLD TO DO SO.



MODULE 1: PRODUCTION AND OPERATIONS MANAGEMENT

1. Techno Ltd assembles laptops and other computer gadgets. The finished products are distributed to three Caribbean countries. Last year, the supplier increased the cost of materials by 100 per cent. This has caused the business to become unprofitable.

(a) Define EACH of the following terms:

(i) Production input

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[2 marks]

(ii) Production output

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[2 marks]

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- (b) Pamela, the owner of the business, is considering focusing on flow production as a means of increasing profitability. Explain EACH of the following production methods:

- (i) Job production

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[3 marks]

- (ii) Batch production

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[3 marks]

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(iii) Flow production

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[3 marks]

(c) Discuss THREE ways in which Techno Ltd can benefit from utilizing the flow production method.

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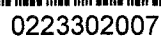
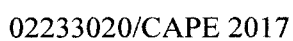
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MODULE 2: FUNDAMENTALS OF MARKETING

2. Over the past year, LeAnn Furnishings Ltd has been struggling to compete with the other furnishings' store in the Caribbean Island of Tango. Customers seem to prefer the furnishing sold by LeAnn's competitors and this has led to a decline in sales at LeAnn Furnishings. After doing some research, the owner/manager, Petula Jones, discovered that a number of factors, including price, could influence customer buying behaviour so she decided to remove some of the value-added features from the furnishings in order to reduce their price.

(a) Define EACH of the following terms:

(i) Value added

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[2 marks]

(ii) Price elasticity of demand

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[2 marks]

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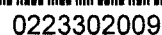
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Total 25 marks



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MODULE 3: SMALL BUSINESS MANAGEMENT

3. Paul and his wife Joanna own and operate JoPaul Farm, a one-acre plot of land on which they rear chickens and grow bananas and tomatoes. They want to get into the banana chips and tomato ketchup markets in order to increase their profit margin. JoPaul Farm is located within the Caribbean island of Saint James which has a free market economy.

- (a) Outline TWO differences between an 'entrepreneur' and a 'social entrepreneur'.

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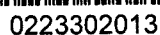
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[4 marks]



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Total 25 marks

IF YOU FINISH BEFORE TIME IS CALLED, CHECK YOUR WORK ON THIS TEST.



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